Linnæus University
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Bachelor Thesis

AI in Managerial Decision-Making

A *qualitative study on how Artificial Intelligence influences managerial decision-making during the international expansion of B2B SMEs.*



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Abstract

The way firms handle information and assist in managerial decision-making has changed as a result of the improvement of Artificial Intelligence (AI). However, for small and medium-sized (SMEs), especially in business-to-business (B2B) environments, international expansion remains to be a challenging and uncertain process. This study looks at how AI influences management choices when Swedish B2B SMEs expand internationally.

Based on semi-structured interviews with managers from five Swedish B2B SMEs that are involved in international contexts. It is also used a qualitative multi-case study design where the empirical results were interpreted in connection with the theoretical framework using an abductive research approach and thematic analysis. The Uppsala model, bounded rationality theory, and human-AI decision-making viewpoints serve as the main foundations for our study.

The findings show that rather than acting as an individual decision-maker, AI mostly serves as a helpful tool that managers use for data collection, market analysis, and to increase operational efficiency. When managers face hard decisions, AI helps them absorb information more quickly and with less stress. However, while making strategic decisions, managers still mostly rely on their own judgment, intuition, experience, and relationship-based knowledge.

In addition, it is also demonstrated that cultural differences, lack of knowledge, and uncertainty have a major impact on managerial decision-making in international business environments. Managers believe that AI is limited in its ability to understand relational aspects of global businesses, despite the fact that it enhances information accessibility and analytical help. Overall, the study finds that while human experience continues to be crucial during international expansion, AI is a viable option to support their choices in Swedish B2B SMEs rather than replacing it.

Key words

International Business, Artificial Intelligence (AI), Managerial Decision-Making, International Expansion, Swedish SMEs, Business-to-Business (B2B), Bounded Rationality, Human-AI Collaboration

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1 Introduction

This chapter presents the introduction and the background to the selected research area, thus establishing the foundation of the study. It is then followed by a problem discussion, highlighting both the research and managerial gaps, and then introduces the research question. Finally, the chapter concludes by outlining the purpose and the delimitations of this Thesis.

1.1 Background

The advancement of technology has changed how and where firms operate and compete across borders in international business (Ratten, Jones, & Braga, 2024). With the development of new technologies over time, it has altered the boundaries of firms and markets, affecting productivity, location decisions, and competitive advantage (Buckley, Elia, Gaur, Krakowski, Kuivalainen, Pedota, 2025). Artificial intelligence (AI) has gained substantial attention in recent years, due to its increasing integration into today's business environment (Enholm, Papagiannidis, Mikalef, & Krogstie, 2022). Hence, it has quickly emerged as a technological priority for companies across sectors, altering their business operations and decisions (Ayinaddis, 2025).

AI which is also defined as *"the ability of a machine to perform cognitive functions that we associate with human minds, such as perceiving, reasoning, learning, interacting with the environment, problem solving, decision-making, and even demonstrating creativity"* (Buckley, Elia, Gaur, Krakowski, Kuivalainen, Pedota, 2025 p. 1) has supported firms with handling work by being able to handle large amounts of data, supporting complex decisions and improving predictions (Kazem, 2025). This results in AI often being linked to efficiency, cost reduction, and a generally stronger competitive advantage (Enholm et al., 2021; Ayinaddis, 2025). This is particularly relevant given the rise of globalization in the global economy, which is pushing firms to seek international expansion to increase and sustain their competitiveness and growth (Gamage, Ekanayake, Abeyrathne, Prasanna, Jayasundara, Rajapakshe, 2020). As a result, international expansion decisions to foreign markets become not a straightforward path but rather a complex process (Magni, Chierici, Fait, Lefebvre, 2022). Therefore, highlighting the complexity of decision-making (Shavkatovna, Rakhmanberdievna, 2026).

Decisions are considered a fundamental pillar of an organization's management, especially in its business activities and plans (Omarli, 2017). Omarli (2017) defines decision- making as *"a course of action consciously chosen from available alternatives for the purpose of achieving the desired result."* (p.84). Managerial decision-making requires managers to identify and evaluate alternatives and to assess the validity and quality of their decisions (Litvaj, Ponisciakova, Stancekova, & Mrazik, 2022). Omarli (2017) further illustrates the decision-making process, which involves managers first determining the intended goal by generating alternatives to attain it. They are therefore required to evaluate these alternatives and select the best option that yields an efficient outcome. However, these decisions are rarely made under conditions of full information due to the rapid changes in the global economic environment. Thus, it puts pressure on managers in today's business environment to make decisions in a more complex, uncertain environment than before (Litvaj et al., 2022).

This complexity becomes even more notable in small and medium-sized enterprises (SMEs). According to Child, Karmowska, & Shenkar (2022), SMEs are characterized by their employee numbers and turnover, which often limit their internal organizational structure and levels of specialization (Harney, Gilman, Mayson, & Raby, 2022). This leads SMEs to face limitations across financial, human, and technological perspectives (Badghish et al., 2024). As a result, decision-making becomes increasingly centralized, as tasks and responsibilities are less formally divided, requiring managers to work across different roles (Shavkatovna, Rakhmanberdievna, 2026). Furthermore, SMEs operating in Business-to-Business (B2B) face additional complexities, especially when expanding, due to the need for managers to acquire experimental knowledge and establish and maintain relationships to navigate them (Magni et al., 2022). Thus, highlighting the complexity and the importance of managerial decision-making.

The complexities associated with decision-making become increasingly important when firms seek international expansion. For SMEs, expanding into foreign markets provides them access to market knowledge and other resources that might not be available domestically (Child et al., 2022). This creates an opportunity to enhance their business competitiveness and growth (Reim, Yli-Viitala, Arrasvuori, Parida, 2022). However, this exposes risk and uncertainty, where these decisions are made under dynamic market conditions, limited information, and significant time pressure (Shavkatovna, Rakhmanberdievna, 2026). In the B2B context, it becomes even more complicated, as managers must navigate uncertain environments, relational hazards in collaborating with local firms, and understand local business

practices, particularly when operating across borders (Zheng, Noorderhaven, & Jiang, 2026).

Thereby, managerial decision-making requires managers to access and evaluate large bodies of incomplete and limited information (Shavkatovna, Rakhmanberdievna, 2026), along with assessing strategic options, and to select the most viable option when engaging in international opportunities (Štrukelj, Dankova, 2025). Therefore, these conditions reinforce bounded rationality, which refers to the ways managers are constrained by cognitive limitations that prevent them from processing all available information (Hernandez & Ortega, 2019). This then makes it difficult for managers to make rational decisions, increasing their dependence on intuition (Pittenger, Glassman, Mumbower, Merritt, Bollenback, 2023). Therefore, the complexities of decision-making highlight the challenges managers in SMEs encounter during international expansion.

In response to these challenges in today's business environment, AI is increasingly being integrated into managerial decision-making processes (Çeri & Erhan, 2025). This represents a shift in how organizations navigate market and operational complexity (Ikbal, 2025). AI improves data processing and analytical capabilities, facilitating improved information accessibility and enabling managers to efficiently evaluate large volumes of data (Mikalef & Gupta, 2021; Wamba, Gunasekaran, Akter, Ren, Dubey, Child, 2017). For SMEs, AI integration becomes significant. As Ikbal (2025) notes, it leads to substantial gains in decision-making performance due to its efficiency and also serves as a cognitive debiasing mechanism. This, in turn, allows managers within SMEs to shift from more intuitive decision-making to a rigorous rational model (Ikbal, 2025).

However, despite those advantages, SMEs face challenges in adopting AI, which can make it difficult to fully utilize it due to a lack of necessary and financial resources (Oldemeyer, Jede, Teuteberg, 2025; Ikbal, 2025). This results in AI impact not being universal, as the success of its implementation within SMEs is highly reliant on internal conditions (Ikbal, 2025). Thereby raising the question of responsibility for balancing human decision-making and AI (Ikbal, 2025; Haesevoets, De Cremer, Dierckx, Van Hiel, 2021). As such, there is a need for a better understanding of how AI interacts with these constraints, but also the weight of human and AI input in managerial decision-making processes (Haesevoets et al., 2021).

1.2 Problem Discussion

1.2.1 Theoretical Problem Discussion

International business research has long stated that companies functioning in new and complex international contexts must formulate strategic decisions under uncertainty (Johanson & Vahlne, 1977). In such situations, decision-making is what is most crucial for businesses to do, to deal with risk and look for new chances. As research has shown, humans tend to be limited by their bounded rationality (Simon, 1955), meaning that decisions are often made with limited human cognition. However, as AI becomes more common, the way decisions are made is changing. AI is becoming a valuable tool to support businesses by supporting access to information needed in decision-making (Buckley, Elia, Gaur, Krakowski, Kuivalainen & Pedota, 2016). It's important to know that although current research shows that AI is enhancing efficiency and accuracy, the topic is still in the process of development (Enholm, Papagiannidis, Mikalef & Krogstie, 2021; Kazem, 2025), leaving unexplored areas.

A significant issue with the current research is that it mostly examines MNEs and other large organisations. These organisations typically possess superior technology, expertise skills and stronger financial capability, which allows them to effectively and easily implement AI into corporate systems (Sanchez, Calderon & Herrera, 2025). According to Ayinaddis (2025), SMEs frequently encounter challenges such as lack of expertise, implementation costs and restricted access to expert developed AI systems. As a result of these differences, the knowledge we have based mostly on MNEs may not be applicable to SMEs. SMEs typically have trouble using AI because they don't have the financial capabilities needed, they don't know what benefits they'll get, and the systems can be complicated (Sanchez et al., 2025; Schwaeke, Peter, Kanbach, Kraus & Jones, 2024). Consequently, they might depend on more simple or general, unspecialised AI solutions.

Nonetheless, research is still unclear on how SMEs use AI in practice, which makes it hard to know its role/impact in decision-making (Schwaeke et al., 2024; Ayinaddis, 2025). This issue is especially crucial during the early stages of AI adoption, which are not fully understood yet but are very important because many firms fail or have trouble implementing it (Sanchez et al., 2025).

Also, most of the research that has been done so far uses organisational level frameworks like the TOE framework to explain why AI is used in

organisations based on technological, organisational and environmental aspects (Sanchez et al., 2025). These frameworks are useful, but they mostly look at the company as a whole and don't consider the decisions made by individuals. This is problematic in SMEs, where decision-making is generally centralised and reliant on one or a few individuals (Sanchez et al., 2025). Consequently, there is a limited understanding of the influence of AI on managerial decision-making in SMEs, especially inside complex and uncertain international expansion contexts.

1.2.2 Research Gap

Existing research in business mainly focuses on the outcomes of using AI, mentioning improved performance, efficiency and higher decision accuracy (Kazem, 2025). However, they strongly overlook to adress how managers in decision-making are influenced and integrate AI. Despite it being shown how AI improves decision outcomes, there remains limited access to research insights addressing how managers interpret AI-generated information and combine such information with their own personal experience for strategic decision-making (Jarrahi, 2018). Most of the research provides a technical perspective, addressing AI capabilities instead of its influence on managerial judgement, cognition, and leadership (Ayinaddis, 2025). Although studies to some extent acknowledge and emphasise AI-human symbiosis by suggesting managers must combine AI analytics with their own human intuition and ethical reasoning (Ceri & Erhan, 2025; Jarrahi, 2018)), there is still limited understanding of how this collaboration occurs in practice (Ayinaddis, 2025; Jarrahi, 2018). Both AI and humans have limitations and capabilities, and a structured process of collaboration needs to be examined (Jarrahi, 2018).

In international business AI has been suggested and viewed as a tool that can support decisions which are related to market entry and international operations (Menzies et al., 2024). It's still unclear, however, in what ways managers can use AI in uncertain and complex situations, in particular how they must balance their own expertise with AI recommendations. In addition, research often fails to clarify to what extent AI is involved in the decision-making process. Whilst studies are showing how AI can reduce errors and improve outcomes (Kazem, 2025), they do not specifically address to what extent AI has influence relative to human intuition/expertise, leading to difficulty in assessing its role and value in decision-making.

Furthermore, recent research has shown that outcomes depend on how AI is integrated into decision-making; relying too heavily on AI can lead to negative results, such as failed return on investment due to eliminating human aspects in decisions, while no AI integration can limit potential

benefits (Vincent, 2021). This emphasises the need to better understand the correct balance of human and AI input. As Jarrahi (2018) argues, both humans and AI possess complementary strengths; AI can process large amounts of data, whilst humans possess intuition and tacit knowledge. How these capabilities should be combined in practice remains unexplored (Jarrahi, 2018).

Lastly, studies on AI adoption in SMEs often don't consider the bigger picture. Different countries, companies, and levels of digital development may require different approaches to implementing AI, but these issues are not fully addressed (Schwaeke et al., 2024). This means that we require research that is specific to specific contexts, like Swedish SMEs.

In conclusion, there is a distinct gap in understanding how managers in SMEs incorporate AI into their decision-making processes, particularly regarding international expansion. There isn't much research that explains how managers use AI-generated insights and human judgement together, or how this affects the results of decisions in real life. To better understand how AI really influences and fulfils a role in managerial decision-making, this gap needs to be filled.

1.3 Research Question

After introducing and outlining the background of the topic and identifying the existing research gap along with the practical problems, this then leads to the development of the following research questions:

How does artificial intelligence influence managerial decision-making during the international expansion of Swedish B2B SMEs?

1.4 Purpose

This study examines the effects of AI in supporting decision-making among managers working in SMEs while expanding internationally. Although prior literature has acknowledged the contribution of AI towards increasing precision and speed, little is known about how managers employ AI-driven insights alongside intuition and expertise. The current study pays special attention to SMEs because they face distinct problems related to technological constraints and insufficient access to AI technologies. In particular, the key importance of managerial wisdom in the context of

making decisions in uncertain situations cannot be overlooked. As such, the research will mainly focus on Swedish B2B SMEs operating in foreign markets.

1.5 Delimitations

One of the main limitations of this thesis is its focus on Swedish B2B SMEs, limiting the extent to which the findings may be transferable to other countries and even towards the Business-to-Consumer (B2C) context. Moreover, this thesis is also not limited to a specific industry, thus providing a broader perspective. However, it does not provide a lens for an industry-specific differences. Furthermore, this thesis examines the managers' perspective, therefore excluding views from other roles within the organization. The thesis also focuses on international expansion in decision-making rather than domestic operations.

In addition to this, the thesis focuses on the use of artificial intelligence (AI) and its influence on decision-making rather than its implementation and internal technological development, thereby highlighting its practical role in managerial decision-making rather than its design. Lastly, as this thesis is built upon a small sample due to limited interviews and time constraints, it then narrows the range of insights and limits the possibility to analyse a broader range of experiences.

1.6 Thesis Outline

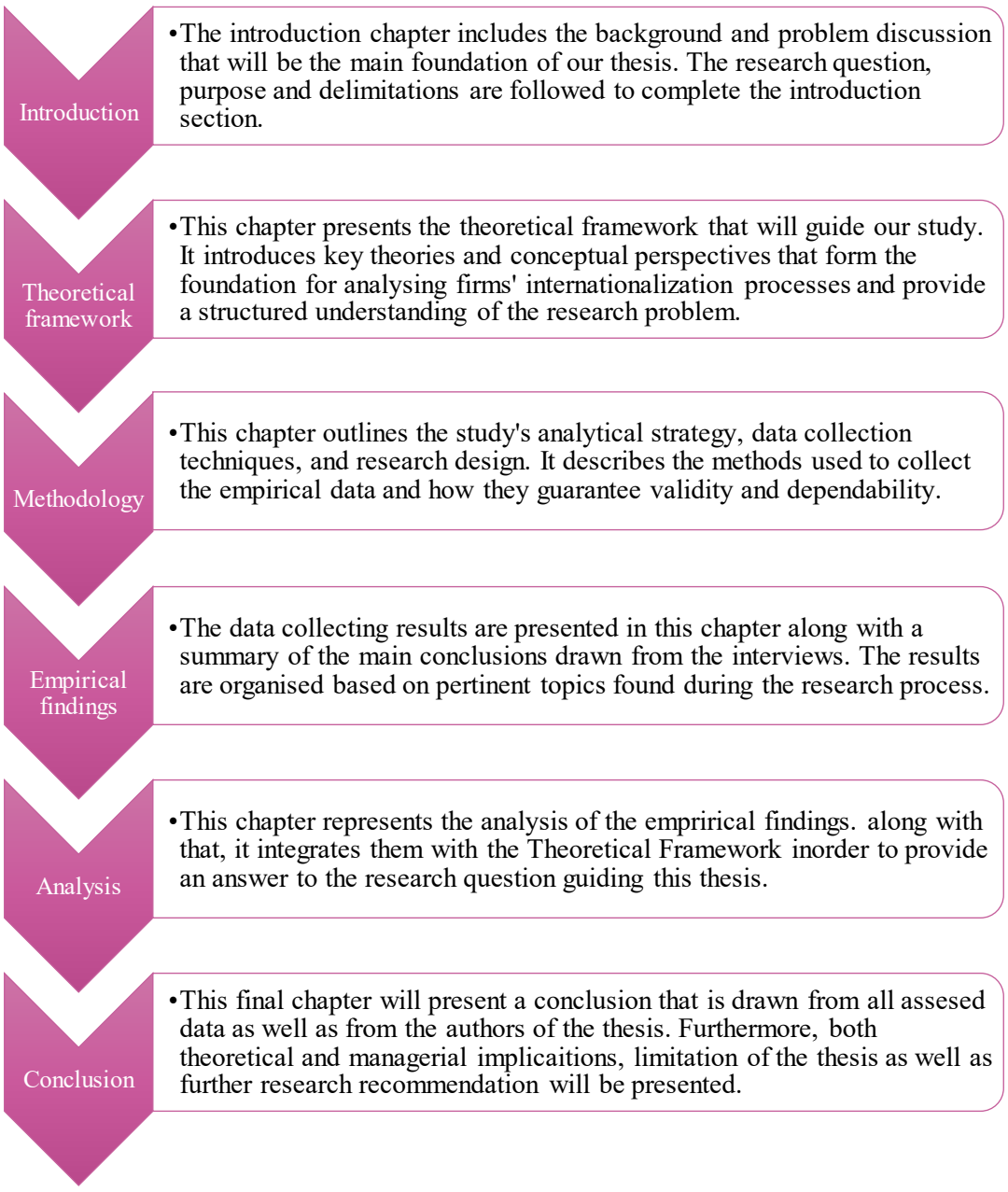


Figure 1. *Thesis Outline*, Own Creation (2026)

2 Theoretical Framework

This chapter presents the theoretical framework that forms the foundation of this study. It will review key theories and concepts like the Uppsala mode, theories of decision-making and bounded rationality and ending with perspectives on human-AI decision-making and the Vincent model. This chapter will conclude with a theoretical synthesis that integrates the presented theories and relate to our research purpose.

2.1 Internationalization theory

Internationalization theory explains how and why firms expand their businesses beyond domestic markets into international environments (Buckley & Casson, 2009). The concept of internationalization is associated with a firm's increasing involvement in international markets through exporting, partnerships, and foreign investments (Buckley & Casson, 2009). This theory aims to understand the factors that influence international expansion, including competitive advantages, organizational capabilities, and market opportunities.

Internationalization is a major factor in B2B SMEs' need on long-term partnerships, specialized products, and business networks to compete in foreign markets (Knight & Cavusgil, 2004). SMEs normally have fewer resources than large companies, due to their lack of financial and organizational resources, and also a lack of market expertise and less international experience. In order to lower uncertainty and obtain market access, B2B SMEs typically grow gradually in order to make connections with foreign partners, distributors, and clients (Knight & Cavusgil, 2004).

2.1.1 Uppsala Model

A fundamental framework for comprehending businesses' internationalization process is the Uppsala model. It views international expansion as a slow, incremental process where businesses gradually expand into foreign markets (Johanson & Vahlne, 1977). In order to reduce uncertainty, businesses usually start by entering new markets that are both geographically and culturally close to their origins. As experiential knowledge develops, they progressively expand into more distant markets.

A central assumption of the model is that knowledge is mainly developed through direct experience in international markets (Johanson & Vahlne, 1977). This experiential learning process plays a huge role in managerial decision-making, as it helps firms evaluate opportunities and risks based on accumulated information. Over time, firms are expected to increase their

level of commitment by allocating additional resources or improving their presence in the specific market. Therefore, internationalization is viewed as an ongoing cycle in which knowledge development and commitment decisions are connected (Johanson & Vahlne, 1977).

As mentioned earlier in the internationalization theory, B2B SMEs are often faced by resource limitations that make firms evaluate foreign opportunities in different ways. In B2B internationalization, managerial decision-making becomes a key aspect, since firms make their decisions under incomplete information and market uncertainty (Schweizer, Vahlne, & Johanson, 2010). Experiential knowledge allows managers to better understand the market conditions and what customers need, supporting their decision-making during international expansion (Johanson & Vahlne, 1977).

2.1.2 Revised Uppsala model with network relationships

By highlighting the importance of business networks in the internationalization process, the updated Uppsala model expands on the original framework. According to Johanson and Vahlne (2009), businesses tend to expand internationally through connections with other parties including distributors, suppliers, clients, and strategic partners rather than on their own. This makes firms expand internationally with a lower risk of uncertainty and with higher chances of being successful. The updated model emphasizes that internationalization depends on network interactions and relationship-building in addition to learning process. These connections will give businesses access to opportunities, resources, and market knowledge that without them they would not be able to have (Johanson & Vahlne, 2009).

This model heavily emphasizes using network relationships to reduce uncertainty. Network partners can provide businesses with useful information and direct knowledge that will help with their managerial decision-making and identifying international opportunities. According to this perspective, knowledge is acquired both internally through direct experience, but also externally through interactions with other businesses (Johanson & Vahlne, 2009).

In B2B internationalization, where companies rely on long-term connections to join and operate in foreign markets, this network-based perspective is especially important. In order to obtain market intelligence, build trust and reduce uncertainty in a new environment, B2B SMEs normally rely on distributors, suppliers, and consumers (Johanson & Vahlne, 2009). As a result, B2B internationalization can be primarily viewed as a relationship-based process in which networks serve as key information, knowledge, and

opportunity sources. This is extremely important for our study since it clarifies how SMEs use networks and relationships to facilitate international decision-making and lower uncertainty while expanding internationally.

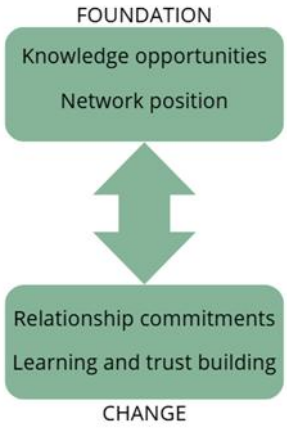


Figure 2. *The business network internationalization process model,* Own creation *(2026).*

Figure 2 illustrates the relationship between the "foundation" and the "change" of the revised Uppsala model. The foundation of the model influences how firms identify international opportunities and access foreign market information. Firms gain knowledge that supports their internationalization decision through the network's positions acquired and with the knowledge opportunities that come along with it.

The lower part of figure 2 represents the change dimension, which includes relationship commitments, learning and trust building. These elements develop through interaction with network partners and contribute to reducing uncertainty in foreign markets. The model therefore highlights that internationalization is not only dependent on internal firm capabilities, but also on external business relationships and access to networks (Johanson & Vahlne, 2009).

This figure supports B2B internationalization by showing how knowledge acquisition, uncertainty reduction, and network relationships are interconnected during internationalization process of B2B SMEs.

2.2 Decision-Making

Decision-making is viewed as a fundamental managerial activity, especially for organizational performance during international expansion (Johanson and Oliveira, 2024), in which complex and uncertain environments managers are required to make decisions along with processing complexity under these conditions (Pittenger, Glassman, Mumbower, Merritt, & Bollenback, 2023).

The process of managerial decision-making, as introduced previously, often includes multiple stages from identifying, gathering, generating, evaluating, and then selecting an alternative to implement the final decision (Litvaj et al., 2017). This process, however, isn't linear, particularly in SMEs due to their flat structure (Harney et al., 2022). Hence, managers are required to process a large amount of either incomplete or limited information and be able to select the suitable option when engaging in international expansion (Shavkatovna, Rakhmanberdievna, 2026; Štrukelj, Dankova, 2025). Therefore, decision-making is illustrated by how individuals interpret the uncertain external environments they are surrounded in (Hernandez and Ortega, 2019), which becomes notable within a highly dynamic environment. Thus, reflecting how decision-making extends beyond choosing the best alternative but also involves navigating the uncertainty and ambiguity (Simon, 1955; Aharoni, Tihanyi, & Connelly, 2011).

Although decision-making is considered a complex and uncertain process, traditional decision-making models have formulated it as a rational process (Simon, 1955). One of the most representative examples is the classical model of "economic man" (Simon, 1955, p. 99). where the assumption is built upon substantive rationality but also where it elaborates how, within this framework, decision makers are considered optimized processors of information even within their environment (Simon, 1955). In addition, they are also characterized to have the necessary skills that allow them to calculate all possible actions that allow them to reach the maximised goal or so the "highest attainable point on his preference scale" (Simon, 1955, p. 99).

While this traditional model offers a structured view of decision-making, it has, however, been challenged as managers frequently operate under bounded rationality, uncertainty, and external pressure and not based on rational alternative evaluation, especially within the context of SMEs (Hariyanto, Sukmana, & Yumitro, 2026). Hence, the development of bounded rationality further provides an understanding of human limitations (Jiang & Liao, 2022).

2.2.1 Bounded Rationality

Traditional economics research has been occupied with the outcomes of decisions instead of how the decisions are made.Hence, in response to these limitations, the bounded rationality theory was introduced by Simon (1955), providing a coherent interpretation through the aspects of cognition and information constraints that managers encounter (Jiang & Liao, 2022). One assumption of bounded rationality is how there are bounded limits to rationality even if individuals are considered rational beings (Simon, 1995; Pittenger et al., 2023, p. 890). In decision-making, evaluating all alternatives is not possible, as a few out of all possible alternatives come to mind and are being evaluated (Hernandez and Ortega, 2019). Therefore, complete rationality is itself bounded by the lack of knowledge, which is something the “economic man” model fails to address and take into consideration (Hernandez and Ortega, 2019; Simon, 1995). Therefore, the bounded rationality theory helps explain those human behaviors rather than restrict them (Jiang & Liao, 2022).

Furthermore, the concept of "administrative man" introduced by Simon (1955) acts as a more practical alternative to the “economic man" (Nuijten, Benschop, Rijsenbilt, & Wilmink, 2020). The administrative man acknowledges that individuals operate under limited cognition and imperfect conditions while making decisions (Pittenger et al., 2023). This can be further justified through how the information processing load goes beyond the limited capabilities of human thinking, making obtaining and processing the information a challenging process (Pittenger et al., 2023).

Therefore, the decision-making process is viewed from a different angle through the theory of bounded rationality. Given that, the process of decision making becomes almost impossible to obtain the best outcome since, as mentioned previously, it is impossible to evaluate all possible outcomes even within the context of its simplest problem (Hernandez and Ortega, 2019). Therefore, within these constraints, decision-makers do not seek the best possible alternative but rather satisfice (Simon, 1959; Hariyanto et al., 2026). The concept of "satisficing" proposed by Simon (1955) comes from both terms "satisfactory" and "sufficing" (Kahneman, 2003, p. 4), which helps explain the idea of bounded rationality. Therefore, instead of evaluating every possible alternative, managers focus only on a few alternatives that are considered good enough or so until satisfactory is obtained (Schwarz, Christensen, & Zhu, 2022). As a result, the concept of satisficing helps reflect existing constraints for managers. Thus, allowing managers to adapt

their behavior according to limited cognition, uncertainty, and the capability to process information (Simon, 1959; Schwarz, 2022).

Therefore, the bounded rationality is considered a key perspective to this study, as it provides a different lens to understanding how managerial decision-making is conducted under such constraints (Hernandez et al., 2019). Hence, the theory highlights the limitations of manager cognition and capabilities, showing how it becomes difficult for an individual to reach full rationality (Jiang & Liao, 2022). This particularity becomes more relevant as the integration of AI-supported technologies within the processes of decision-making.

2.3 Human-AI Decision Making

2.3.1 Existing perspectives on human AI decision making

Today's research is highlighting the benefits of cooperation between humans and AI instead of one replacing another (Jarrahi, 2018; Vincent, 2021). Jarrahi (2018) argues that AI is mostly beneficial when it is used to boost human capabilities since they both have unique strengths and weaknesses that are compatible; what one misses, the other possesses. While humans are capable of handling ambiguity and context-dependent judgement through intuition and experience, AI is highly effective in processing large amounts of data and identifying patterns with time efficiency (Jarrahi, 2018). This contrast allows for decision quality to improve positively by combining human intuition and AI analytics. Prior research has examined that errors are highly reduced in comparison when relying solely on AI or human decision-making (Jarrahi, 2018). Despite this lens being beneficial to acknowledge, it fails to demonstrate how decision-making between humans and AI would be structured in practice.

Shrestha et al. 2019 address the limitation by proposing a structured perspective of decision-making between humans and AI. Differences such as scalability, speed, consistency and interpretability are highlighted by them when mentioning human and AI differences. With consideration to their differences, they propose three ways of structuring decision-making collaboration between humans and AI. First, hybrid human to AI, sequential AI to human and lastly, aggregated human-AI decision-making (Shrestha et al., 2019). However, despite their contribution, this model assumes a structured and rational decision-making process and does not take into consideration how in the real-world human limitations strongly influence decision behaviour (Vincent, 2021).

2.3.2 Limitations of human and AI decision-making

As mentioned previously, research informs us of human bounded rationality (Simon, 1955; Simon, 1959). Which, as a result, people tend to rely on simplified decision making processes. Such cognitive limitations are often identified in environments which are uncertain and complex, where decision-makers tend to rely on more practical judgement by simplifying information rather than conducting a comprehensive analysis (Simon, 1955). Human intuition plays an important role in decision-making in such contexts. To guide decisions, people tend to take advantage of experience based judgement when analytical reasoning becomes too impractical or demanding (Vincent, 2021). This behaviour can on many occasions be quite effective, especially when decision-makers have relevant expertise, since experience can drive faster pattern recognition and decision-making (Vincent, 2021). Intuition is, however, not inherently reliable. It can lead to inconsistencies and systematic errors in decision-making since it's subjected to cognitive biases, overgeneralisation and heuristics drawn from previous experiences (Shrestha et al., 2019; Vincent, 2021). As Shrestha et al. (2019) highlight, limited processing capacity and subjective judgement often influence human decision-making; this, as a result, reduces accuracy and consistency. Most particular in complex tasks or data-intensive tasks.

Simultaneously, AI systems are also limited despite their analytical capacity. AI is strongly dependent on having access to predefined algorithms and structured data, resulting in AI effectiveness being dependent on, or strongly tied to the availability, quality and relevance of data that it is trained on (Jarrahi, 2018; Vincent, 2021). AI systems can generate outputs that can seem accurate, however, they are inaccurate and quite misleading in situations where the data might be biased, incomplete or unrepresentative (Jarrahi, 2018). Additionally, AI performs best practices in data-rich and structured situations and struggles in unstructured environments where challenges are dynamic, ambiguous or can lack clear historical patterns (Vincent, 2021).

It is also emphasised by Shrestha et al. (2019) that despite AI being able to better scale and improve consistency in decision-making, it is still affected by bias. AI has been shown to amplify and reproduce bias which is embedded in training data which develops it; this leads to having systematically flawed recommendations (Shrestha et al., 2019). Furthermore, AI is incapable of understanding organisational, social or situational interpretations; it lacks contextual understanding like human decision-makers (Jarrahi, 2018). This, as a result, limits AI to being able to provide and make

reasonable decisions in more complex real-life situations that require more than just analytical reasoning.

All things considered, fundamental challenges are illustrated by these limitations. Human decision-makers are bounded by their cognitive incapacities, subjective judgement and biases, whilst AI systems, on the other hand, are limited by conceptual understanding, embedded biases and data dependency (Simon 1955; Shrestha et al. 2019; Jarrahi 2018; Vincent 2021). Since neither decision method approach is sufficient independently, this illustrates an evident need for decision-making frameworks which combine AI-driven analysis strength with human intuition capability in a complementary way. This clear gap is explored by the Vincent model, which merges both perspectives into a consolidated decision-making approach (Vincent, 2021).

2.3.3 The Vincent Model: integrating intuition and AI

To tackle both human and AI decision-making limitations, Vincent (2021) proposes a model (see figure 3) that serves as an example and clear structured guide of how both human intuition and AI can be used in real practice. Instead of only continuing the argument of AI and humans being effective in collaboration, Vincent sets two concrete approaches for human-AI decision-making: the confirmatory method and the exploratory method (Vincent, 2021). They differ in how the process begins, either with human intuition first or AI-based analysis based on the situation at hand. However, both methods aim for a human-AI symbiosis.

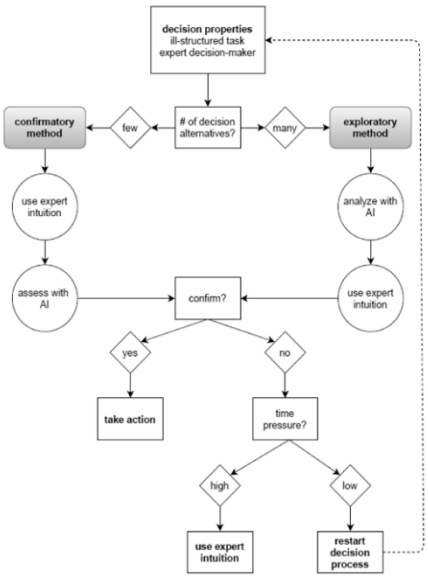


Figure 3. *The Vincent Model* (Vincent, 2021)

2.3.3.1 Confirmatory method:

This method begins with a human decision-maker (see figure 3), an expert based on knowledge and experience, who begins by forming an intuitive judgement regarding a task or problem (Vincent, 2021). AI is then used in the process next, to evaluate the alternatives which the decision-maker has provided. In this method AI is used as a validation tool instead of being the prime decision-maker. If the intuitive judgement is also supported by the AI's own analysis, the decision is set and assured (Vincent, 2021). However, if it happens to be that AI disagrees with the intuitive decisions set and the analysis produces inconclusive results, then the situation is chosen to be reassessed by the decision-maker. If time allows, then the decision alternatives are revisited and reevaluated with AI until a satisfactory outcome is reached (Vincent, 2021). However, if time is not in one's favour, then it is advised that the intuitive decision of an expert should be dominating since it has been shown that human intuition better performs and interprets ill-structured tasks if the expert has sufficient experience (Vincent, 2021).

2.3.3.2 Exploratory method

In contrast to the previous method, this method begins with AI instead of the human decision-maker (see figure 3). In situations with large amounts of data and many alternative options, AI is set to first analyse the task to generate the possible decision alternatives in the task (Vincent, 2021). This is to help minimise the cognitive burden by narrowing and filtering relevant decisions for the human decision-maker. The human decision-maker then proceeds with evaluating those alternatives proposed by AI, using their own judgement and intuition. The decision is later implemented if it aligns with the human intuition (Vincent, 2021). However, if it is disapproved, the process is repeated and reevaluated until satisfaction is reached. As also previously stated by the confirmatory method, if time is limited, the decision-maker is suggested to prioritise their intuition and neglect AI analysis since it holds a greater strength and successful outcome in comparison to AI in uncertain and complex situations (Vincent, 2021).

Thereby, the Vincent model provides an essential contribution to human-AI symbiosis by proposing and clarifying a model of how such collaborations can take place in real matters based on different circumstances and outcomes. This concept provides a method for integrating analytical processing and human judgement by categorising and dividing choices based on settings where AI should take the lead and those where intuition should. By merging the theory of human-AI symbiosis (Jarrahi 2018), the structural design of decision roles (Shrestha et al. 2019) and the constraint of cognitive decision-making (Simon 1955), it advances previous studies. Therefore, this model is

particularly suited for complex managerial choices in international business which involve both uncertainty and data intensity.

2.4 Theoretical Synthesis

The theories are connected through their focus on uncertainty, knowledge, and managerial decision-making in the internationalization process. The Uppsala model explains that firms expand under uncertain conditions and gradually develop knowledge to reduce this uncertainty that is presented (Johanson & Vahlne, 1977). Bounded rationality supports the Uppsala model by showing that managers have limited information to understand and be able to weigh all their option while making decisions (Simon, 1955). This is expanded by human-AI decision-making, which delves into the limitations in complex and digitalized settings that managers deal with. AI also supports managers by processing large amounts of data to support their analytical tasks, while managers rely more on their own intuition and knowledge (Jarrahi, 2018). Putting all together, the theories show how uncertainty, limited decision-making capabilities, and importance of AI to support managers decision-making processes all influence SME internationalization.



Figure 4. *Theoretical Synthesis*, Own creation (2026)

3 Methodology

This chapter presents a detailed explanation of the methodology. Hence, providing an overview of the approach used throughout the thesis to answer the research question and achieve the study's goals. It will further explain the selected method, design, and research methodology that will then be followed by data collection, operationalization, and analysis. The chapter is concluded with a discussion regarding research quality, ethical considerations, as well as the author's contributions.

3.1 Research Approach

The research approach will justify how theory is developed in the thesis, supporting data collection, analysis, and the strategies implemented. Depending on the research, an approach can be deductive, inductive, or abductive (Saunders, Lewis, Thornhill, 2023).

An abductive approach allows for a continuous interaction between theory and empirical data, enabling us to draw on existing theoretical frameworks while remaining open to draw conclusion from the data provided (Saunders et al., 2023). Therefore, an abductive approach will be adopted since it is relevant in qualitative research, where understanding is developed through interpreting participants´ experiences and perspectives that will be drawn from the interviews (Bell, Bryman & Harley, 2019). Since the purpose of this study is to explore how AI is applied in managerial decision-making in practice, this approach will provide the flexibility to connect the concepts with the data throughout the whole process.

An inductive approach is not usable for our study since it does not aim to develop theory from scratch but building on established theoretical frameworks (Saunders et al., 2023).

A deductive approach is also not suitable for our study since the purpose of it is not to test causal relationships or confirm hypothesis but explore how AI is applied in managerial decision-making in practice (Saunders et al., 2023).

3.2 Research method

To achieve appropriate information that results in credible findings, it is important to choose a correct research method. There are two research methods which can be used to achieve data: quantitative and qualitative. Both offer different approaches to address the research questions (Saunders et al., 2023). The suitability of the methods mentioned depends mostly on the purpose and aim of the research. A quantitative approach is based on

numerical data and examines the relationship between variables (Saunders et al., 2023). The qualitative method, however, is based on non-numerical data; instead, it observes written or spoken data which is typically gained through observations and interviews (Saunders et al., 2023). Considering this study's exploratory focus the qualitative research method is chosen as an appropriate method to examine and collect data for this study, as it enables a deeper understanding of how managers interpret and apply artificial intelligence in real-world decision-making processes, allowing room for expression and contextual understanding.

3.3 Research Design

3.3.1 Research strategy

A research strategy, as elaborated by (Bell et al., 2019), outlines the overall plan for the following research that will take place by providing how the research question and aim will be answered, but also achieving the research objective (Saunders et al., 2023). There are multiple strategies that are linked with qualitative research design, which include action research, case study research, ethnography, grounded theory, and narrative inquiry (Saunders et al., 2023). For business and management research, a case study is considered a widely popular approach, therefore making it the most suitable strategy for the current research topic (Bell et al., 2019). A case study can be based on an organization, a location, a person, or even a single event (Bell et al., 2019), where an extensive exploration of a specific topic can be conducted. As a result, it helps provide rich empirical data that is derived by generating in-depth insights into the study of a topic within a real-life context (Saunders et al., 2023).

Furthermore, case study research can be, according to Saunders et al. (2019), conducted as either a single case or a multiple case. A single case represents a critical case, which is selected to analyze a phenomenon that has not been previously examined (Saunders et al., 2023). On the other hand, a multi-case involves predicting literal and theoretical replication across several cases (Saunders et al., 2023). Therefore, this study adopts a multi-case study design that can assist in identifying patterns and comparing and strengthening findings across multiple cases (Bell et al., 2019).

3.3.2 Sampling techniques

In order to obtain the appropriate data from the participants throughout the study, a sampling design is needed. Sampling involves the process of selecting a suitable sample from a large population to be able to generate characteristics and insights about a population (Adams, Khan & Raeside, 2014). Based on the type of research conducted and type of information gathering, a sampling technique of probability sampling or non-probability sampling is chosen (Saunders et al., 2023). Probability sampling is often common in quantitative research as it tends to achieve overall statistical characteristics from a sample of the target population (Saunders et al., 2023). Hence, the probability of selecting a case from the population is equal to all cases (Saunders et al., 2023). In opposition to this, non-probability sampling doesn't depend on random selection, but instead the probability of the selected case is unknown (Adams et al., 2014).

Therefore, a non-probability design is appropriate for the chosen research and is therefore chosen. Furthermore, purposive sampling is implemented. Purposive sampling is a form of non-probability sampling, where, as explained by Bell et al. (2019), it involves selecting cases in a strategic way that involves the author's judgment. This leads to researchers choosing cases from the sample that are relevant to the study and are highly informative in order to be able to answer the research question and meet the objectives of the study (Bell et al., 2019; Saunders et al., 2023).

Hence, the chosen sampling technique aligns with the qualitative research objective, which in result, allows the authors to apply judgment to the chosen cases that are relevant to the research question. For this reason, the chosen cases for this study are evaluated and selected based on five criteria that are presented in the following section. The criteria aims to assist in selecting the appropriate case for providing valuable insights that are relevant and related to the research topic.

The selection of cases is based on the following criteria:

1. Based in Sweden.
2. An SME (<250 employees).
3. Operate in a B2B context.
4. Engage in international business operations.
5. Use AI in decision-making processes.

3.3.3 Cases

Firm 1 and Interviewee A	Firm 1 is a Swedish SME that operates in the manufacturing industry within the context of B2B. The company produces writing boards, whiteboards, and office screens for schools and organizational offices. The company engages in international business operations, and the company utilizes AI within its organization to support decision-making and operational processes. Interviewee A is an **export manager** and is involved within decisions related to international expansion.
Firm 2 and Interviewee B	Firm 2 is a Swedish SME that focuses on Scandinavian and Viking inspired design. The company designs a wide range of products from jewelry, drinking horns, mugs, home decorations and historical craft products. The company operates internationally within the context of B2B. Interviewee B is the **CEO** of the company and co-owner, who is highly involved in decision-making regarding the company.
Firm 3 and Interviewee C	Firm 3 is a SME in Sweden that works in the biotechnology field and sells to other businesses. The company focuses on getting biologically derived venom and other compounds from scorpions, snakes, spiders, marine organisms, insects, and plants, including material from underexplored species and providing them for scientific research and possible medical uses. The company does business around the world by working with research institutions and industry partners in other countries. Interviewee C is the company's **CEO** and founder. Who is directly involved in making strategic decisions, such as those on international growth, partnerships, and the company's overall direction.
Firm 4 and Interviewee D	Firm 4, Swedish SME provides B2B technology and engineering services. The company develops industrial IoT solutions like connected devices, gateways, and sensor-based systems for energy and industrial applications. The company collaborates with clients from concept to design, testing, certification, and mass production. Through collaborations and IoT solution

	deployment, the company operates internationally. Interviewee D, the **CEO**, makes strategic decisions about product development, alliances, and worldwide expansion.
Firm 5 and Interviewee E	Firm 5 is a Swedish SME that manufactures and specializes in vehicles moving aircraft such as towbarless tractors. The firm operates internationally with a strong market position in the Scandinavian home market and a growing export to Central Europe, USA, China as well as the integration of cutting-edge technology. Interviewee E is the head of Sales with experience and involvement of decision-making, B2B networking, market expansion. Interviewee E is a **sales representative manager** who takes part in decision-making connected to international expansion.

Figure 5. *Company cases*, Own creation (2026)

3.4 Data Collection

To ensure relevance and accuracy, the data collection must align with the research question (Saunders et al., 2023). Within the business research field, data can be collected through both primary and secondary sources. Secondary data consists of existing literature and previous research published (Ghauri & Gronhaug, 2010). Considering the purpose of this study aiming to examine how AI influences managerial decision-making during the international expansion of Swedish B2B SMEs, both secondary and primary data are used. Since the study focuses on understanding managerial decision-making, interpretations and experiences in relation to AI, a qualitative approach is viewed as most appropriate. The primary data is collected through semi-structured interviews with managers working at Swedish B2B SMEs involved in international expansion decision-making processes. Secondary data, like previous research and academic articles, are used to build the theoretical framework to also support the analysis of the empirical findings, however, interviews are considered the main data collection method of the study.

3.4.1 Primary Data

In explanatory research, where the purpose is to understand and get insight into participants perspectives and experiences, primary data collection is most suited (Saunders et al., 2023). To better understand how AI influences managers during international expansion decision-making, this method is used for this study. Qualitative data can help explore how individuals interpret situations and set decisions within different contexts (Saunders et al., 2023). Which makes it particularly relevant in SME contexts, considering managerial decision processes are heavily influenced by a combination of intuition, data and past experiences. Primary data can be time-consuming in research due to it providing research with rich and deep context-specific insights which are close to the research question (Ghauri & Gronhaug, 2010).

3.4.2 Interviews

Interviews are strongly useful to understand management's reasoning, experience, and the decision-making process in depth. The interview method is most common in such research that requires an in-depth lens (Saunders et al., 2023). The interviews of this study were conducted using semi-structured questions to provide balance with all interviews whilst still maintaining flexibility for individual adjustment to the interviewee. Key questions were set in advance to address the main point across all interviews, however, follow-up questions were included to support the differences in interviews as well as provide the interviewer space for deeper discussion on relevant topics. The targeted interviewees for the interviews were managers in Swedish SMEs which are involved in decision-making processes related to international expansion. These targeted interviews help by providing an understanding of not only if managers use AI in decision-making but also how they interpret insights from AI and how such insights influence their decision-making in practice. Due to practical considerations and accessibility, interviews were conducted both online and physically. An overview of the interviews conducted is presented below in Figure 6.

Interviewee	Firm	Duration	Date	Place	Language
A	1	40:02	29/04/2026	Zoom	English
B	2	35:34	30/04/2026	Zoom	English
C	3	33:44	01/05/2026	Physical	English

D	4	19:41	04/05/2026	Physical	English
E	5	35:31	06/05/2026	Physical	English

Figure 6. *Interviewee information*, Own creation (2026)

3.5 Method of Data Analysis

When determining a method for our qualitative data analysis, some alternatives are available, but the one that suits better is the Thematic Analysis since it fits perfectly on the focuses of managers experiences and perceptions regarding the use of AI in managerial decision-making during international expansion. Thematic Analysis enables the researcher to identify and interpret recurring themes and patterns within qualitative data while maintaining flexibility throughout the analysis process (Braun & Clarke, 2006).

The study is based on semi-structured interviews with managers from Swedish B2B SMEs. Through these interviews, the aim is to identify patterns related to AI usage, managerial intuition, decision-making processes, and international expansion. Thematic Analysis is therefore appropriate as it allows us to organize and interpret these patterns while still maintaining the interviewee's perspectives (Braun & Clarke, 2006). Thematic analysis also aligns with the abductive approach adopted, as it enables the continuous movement between empirical findings and existing theory throughout the analysis process (Saunders et al., 2023).

Other qualitative methods were considered but less suitable for this study. The grounded theory focuses on generating new theories from empirical data, which is not the purpose of our thesis (Saunders et al., 2023). The discourse analysis focuses on language and communication structures, which also does not meet the purpose of our thesis. The narrative analysis highlights individual stories and experiences rather than identifying patterns across the interviewees, and since we are identifying patterns mainly across them, this does not suit our thesis (Saunders et al., 2023).

3.6 Operationalization

The operationalisation table (Figure 7) of this study, which links the interview questions posed during the conducted interviews with the concepts of the thesis, can be seen below.

Concepts	**Interview Questions**	**Reasoning**
Background	Q1-2	The first questions aim to provide a clear understanding of the interviewee's role within the company and the decisions which they are involved in. As well as gaining insight of the markets in which the company operates to initiate a discussion related to international expansion decision-making.
Internationalization	Q3-4	The questions aim to understand how firms expand and operate across foreign markets, as well as the factors influencing those processes. As well as to analyze how internationalization was experienced and managed in practice.
Decision-making process	Q5-6	The questions aim to understand the managerial decision-making process under uncertain environments. Additionally, understanding how information is being accessed and evaluated by managers to come up with a decision, especially when complete rationality is limited. thus reflecting the cognitive human constraints that managers encounter.

AI-Human Symbiosis	Q7-8	The questions aim to provide an insight into how managers collaborate with AI, to what extent AI is included and its influence in the decision-making process. As well as gaining an understanding for how AI-generated insights affect managerial judgement, intuition and expertise.

Figure 7. *Operationalization Summary*, Own Creation (2026)

3.7 Quality of Research

According to Saunders et al. (2023), there are two key criteria to assess how consistently and ethically the data is gathered: validity and reliability.

In qualitative research, ensuring research quality is essential to strengthen the credibility and trust of the study. The quality of case study research can be assessed through construct validity, external validity, and reliability (Yin, 2016). Since this study adopts a qualitative multi-case study design, these criteria are important for our findings.

Construct validity refers to establishing appropriate measures for the concepts being studied (Yin, 2016). The study used multiple sources of evidence, including semi-structured interviews and literature. The theoretical framework was also developed from established theories related to internationalization, bounded rationality, and human-AI decision-making, which therefore, guided the interview process and analysis.

In addition, it was maintained a linkage between the research question, theoretical frameworks, interview questions and analysis, allowing us to connect the data collected with the conclusions presented in the thesis. Furthermore, the interviews enabled the participants to provide detailed information and examples of their practical experiences, that give credibility to our findings.

Moving to external validity, that concerns the extent to which the findings can be transferable beyond the specific cases included in this study (Yin, 2016). Since the focus is on Swedish B2B SMEs operating internationally, the findings cannot be statistically generalized to all SMEs or industries. However, the purpose of the study is for our findings to contribute to existing

theoretical understandings that will therefore give us the information needed for the analysis. By using multiple cases from different industries, it will increase the chance of identifying patterns related to managerial decision-making and AI usage during international expansion.

Lastly, reliability to which the research process is consistent and ca be repeated with similar procedures (Yin, 2016). This goes hand in hand with the interview procedures that were conducted using a semi-structured interview guide to ensure consistency across interviews while still allowing for some discussion across all interviews. The thematic analysis followed a process where recurring patterns were identified across the interviews and used in the coding process to maintain consistency and reduce individual bias.

3.8 Ethical Considerations

Ethical considerations are fundamental in any kind of research conducted, where the term research ethics is defined as the standards of researcher behaviour that direct them to the relation of the participant and the others who may be affected by the study (Nii Laryeafio and Ogbewe, 2023; Saunders et al., 2023). This becomes more essential in qualitative studies, where it involves collecting data through interviews, observations, and written materials (Orb, Eisenhauer & Wynaden, 2001). Thus, the researcher has the duty to negotiate access to data collection from participants, and that relies on the quality of the social interactions between the researcher and the participants (Orb et al., 2001). Furthermore, ethics also involves the duty of avoiding any possible harm to any participants. This becomes more prominent within primary data collection. Therefore, as stressed by Nii Laryeafio and Ogbewe (2023) and Orb et al. (2001), researchers have the responsibility of protecting participants through ensuring accountability to notice and prevent any foreseeable harm, but also ensure participants' well-being in any kind of research.

Given that this study adopts interviews as its main source of data collection, Nii Laryeafio and Ogbewe (2023) outline ethical considerations that must be observed by the researcher, such as privacy, anonymity, confidentiality, voluntary participation, and the option to opt out. meaning that the researcher has the responsibility to respect the rights and the privileges of participants, but also how they should not be manipulated under any circumstances to allow for freedom of expression and the protection of participants during data collection (Nii Laryeafio and Ogbewe, 2023).

When reaching out to managers to interview, all participants have been informed about the purpose of the research as well as the context of how the data will be collected and processed. Prior to the interview, all participants were informed about their role within the study along with obtaining informed consent before conducting the interviews. All participants have participated voluntarily and have been asked if they give permission for the interviews to be recorded along with if they choose to be anonymous. Moreover, all participants have also been informed about their right to withdraw at any stage of the study. Therefore, no information regarding organisation or personal details has been disclosed due to anonymity. In addition, all collected data have been stored securely and solely used for academic purposes. Along with that, participants were also alerted that all data collected will be deleted by the end of the study to ensure no confidential data is disclosed, maintaining the ethical standards throughout the study to ensure protection and the rights of all participants involved.

3.9 Contribution of the Authors

Each author contributed to the thesis development equally. The research process, content and structure were continuously discussed and agreed upon collectively throughout the project. Despite individual sections being written by different authors, the content of each section reflects joint discussions, shared decisions and collective contributions from all authors.

4 Empirical Findings

This chapter presents the results from the interviews. The findings are organized by the main themes found during the thematic analysis. They are linked to the purpose and research question of the study. The chapter also describes how participants use and view AI in managerial decision-making and how AI support relates to human judgment in international business.

4.1 Gradual International Expansion and Network Development

4.1.1 Incremental International Expansion

The empirical data from all five firms indicates that international expansion is approached as a gradual and incremental process rather than a structured strategy. Instead of entering foreign markets quickly, firms expand stepwise, building on past experience and gradually increasing their level of commitment. In interview E, the interviewee describes the expansion process as sequential, where he mentions starting "started in Scandinavia… then went to Germany… then the United States… then China," emphasizing that it was taken step by step.

Similar patterns can be seen in interview D, where the company concentrates on local markets, starting with Finland and planning to expand into the larger Nordic region. This indicates preferences for entering markets that are both geographically and culturally close before moving further away to more complex environments. These show that firms frequently lower uncertainty by entering familiar environments before expanding further.

In firm 1, the interviewee explains that the company first enters foreign markets through external factors and only establishes subsidiaries once a certain sales level is reached. This is considered viable to invest in local presence, illustrating how firms gradually increase their commitment based on market validation. The incremental nature of expansion is also reflected in the entry modes used by firms.

Additionally, the decision-making process that supports international expansion is mainly informal and experience-driven. In interview D, the interviewee states that there is no formalized process and that decisions are based on "a lot of gut feeling". This is further supported in interview B, where the interviewee notes that even when information is available,

decision-making depends on “experience and gut feeling”, especially when evaluating market opportunities.

The incremental approach is further supported by resource limitations. In interview B, the interviewee highlights that the firm has a small staff and is unable to pursue several expansion projects at once, mentioning “we have a small team… we can’t do everything”. Therefore, expansion must be properly prioritized and carried out gradually. Similar to this, interview A shows that financial capability and market readiness influence expansion decisions, which means that businesses only move forward when they believe they have favorable circumstances.

The results also show that firms do not wait to join new markets until they have access to all the knowledge. Even after entering a market “unexpected information would not change our decision”, according to interview A. Instead, managers must modify their strategies, demonstrating how experiential learning and adaptation are used to manage uncertainty rather than trying to avoid it.

4.1.2 Networks and Relationship-Based Expansion

The main conclusion taken from every interview is that networks, relationships, and human connections are important for international expansion. Firms usually enter and operate in foreign markets through existing contacts, recommendations rather than depending exclusively on market information or data that might not be that accurate.

In interview B, the interviewee explains that the majority of clients get in touch with the company through network connections, stating that they frequently do so after being recommended by other businesses, showing the level of networking, it needs to be successful abroad. A trend of network-driven improvement is shown, in which chances develop from already existing connections rather than explicit market targeting. Also, interview E demonstrates the industry’s relational character, mentioning it as a “very small” network in which “everyone knows each other”, suggesting that informal networks and business connections are crucial for promoting international trade.

Another example of importance of networking is shown in the way businesses grow geographically. According to interview D, firms frequently expand by “following the customers”, which means they enter new markets where their clients are active on. This suggests that rather than being

motivated by solely strategy analysis, internationalization is path-dependent and built into current business connections.

Partner selection is a big part that influences relational factors. In interview D, the interviewee makes it clear that “we go with people that we like” and highlights the importance of interpersonal compatibility and ideals that are common when making decisions. In a similar way, interview A emphasizes the importance of finding people who are “reliable and who share the values” of the business, suggesting that trust and being connected in the same way are important factors to consider when choosing partners in international markets.

In complex markets, relationships are especially crucial. The interviewee in interview E shows that it would be impossible to enter the Chinese market without a reliable local agent, saying that “you cannot do anything by yourself… you need to have one representative”. Also, in interview D, the interviewee notes that even between neighboring countries, differences in communication exist and can influence how business are formed and maintained. Interviewee C highlights that language, culture and negotiation practices significantly affect international collaboration, making business connections more complex than models suggest.

Considered collectively, these results show that social and relational interactions are linked to international expansion. Networks make it possible to enter new markets and make information more accessible. Trust and shared values are a big part in shaping internationalization decisions.

4.2 Managerial Decision-Making under Uncertainty

4.2.1 Uncertainty in Managerial Decision-Making

The empirical findings demonstrate how, during international expansion, managerial decision-making is significantly influenced by uncertainty. The managers in the interviews collectively outlined how decisions related to foreign markets are seen as a complex process involving operational uncertainty, legal factors, and cultural factors. That becomes more prominent when entering markets that are unfamiliar or even establishing new partners. Additionally, multiple interviewees have also addressed the constant evaluations and negotiations that occur before decisions are finalized during international expansion.

Furthermore, interviewee B points out the challenges of the collaboration process, describing it as "very complicated," as it often requires, according to interviewee B, “a lot of meetings, a lot of sharing documents, and gathering a lot of information" in order to reach an agreement. similarity, interviewee A further highlight is the uncertainty related to legal risks along with international agreements, especially foreign distributor collaborations, particularly to issues and challenges that arise from contracts that can potentially lead to legal disputes.

Another uncertainty aspect identified during expansion is the differences in communication and culture. Interviewee D outlines how firm 4 encounters cultural differences in terms of communication styles as well as business practices when expanding into Finland, despite addressing how geographically close Sweden and Finland are. In the same way, interviewee E further addresses how language barriers become an obstacle as Firm 5 operates in Germany, where the interviewee describes how business interactions are affected by local communication preferences. As a result, the following findings highlight the need for continuous adaptation that managers encounter when making decisions in response to changes in accordance with market conditions, uncertain foreign business environments, and cultural differences.

4.2.2 Incomplete Information and Challenges in Evaluating Information

Another significant factor that most managers frequently encounter is the ability to obtain, evaluate, and also filter all information during the decision process of entering a foreign market. The majority of managers expressed that although their ability to access information has increased due to digitalization, identifying the reliability and relevance of the information obtained continues to be a challenge in managerial decision-making.

When evaluating international collaborations, Interviewee B in particular highlighted the difficulty during the process of analysing large amount of information. The interviewee further explained how, prior to making a decision, references, previous partnerships, and histories of projects are examined. Despite the accessibility of information, the interviewee emphasized that overly large amounts of information could make the process complicated rather than simplifying it: "You lose the most important parts when you have a lot of information.” Moreover, the interviewee further stresses the need to evaluate the available information thoroughly before

making decisions and illustrates how managers need to "study it very, very well" before proceeding with decision-making.

Likewise, interviewee D describes how firm 4 evaluates competitors, customer needs, and the market potential before entering new foreign markets. In contrast, the interviewee further highlights that it's impossible for managers to have full information of future market trends or conditions or even customer behaviour, which, as a result, further complicates the process of international decision-making.

In addition, interviewee A also stresses the challenge of identifying reliable distributors along with business partners for firm 1 through the stages of entering a new market. According to interviewee A, choosing the "right partner" is vital for when wanting to expand in foreign markets, especially when companies cannot foresee entirely future outcomes or cooperation quality.

Furthermore, the findings demonstrate how when information is incomplete, managers rely on several sources. such as Interviewee E elaborating when evaluating opportunities and foreign markets, it remains still important to network and communicate with colleagues. Simultaneously, interviewee E explains how today access to information has been simplified due to technological tools and AI-supported searches: "Now, through AI, everything goes a little bit faster… you don't have to spend one week to search for information." Therefore, the following results indicate that obtaining information is not solely the challenge that managers experience but rather also identifying whether the information obtained is relevant, reliable, or even useful for international decision-making.

4.2.3 The Role of Experience and Intuition in Decision-Making

An important pattern identified is the important role of managerial experience and intuition in international decision-making. Multiple managers expressed how decisions are not primarily based on formal analysis but rather also impacted by prior experiences, practical judgment, and also the acquired knowledge.

Such as that managerial decision-making as described by interviewee D involves "a lot of gut feeling," especially as firm 4 evaluates the potential international opportunities and partnerships that they can proceed with. The interviewee further expresses how the involvement of previous experience has enhanced the firm's understanding of cultural experiences and business

practices that brought awareness when collaborating with suitable local partners.

Similarly, interviewee B also highlights that expanding into new foreign markets becomes easier as time goes by due to the accumulation of experiences from previous projects and foreign market interactions that managers acquire. where the interviewee pointed out how previous international collaborations were far harder because of the unfamiliarity with the stages and processes that are involved when expanding: “First time, it’s always very difficult… because it’s completely new.”

Interviewee A has also pointed out experience-based judgments, where the interviewee further describes how decisions related to international expansion are often reliant on managerial experience but also evaluating the right moment and opportunity to enter a market. Instead of relying heavily on structured calculations and procedures, the decision-making as described by the interviewee is also impacted by prior practical understanding as well as industry experience.

Additional factors identified were networking and long relationships as important sources of managerial judgment. Interviewee E describes how, within the decision-making process within international business, it is strongly relationship-based but also reliant significantly on communication with industry contacts. That's also due to the niche market that firm 5 operates in: “It’s a lot about networking. We talk a lot with each other.” Overall, the findings implicate how, within decision-making, managers often collaborate with not only formal evaluations but also intuition, experience, and relationship-based knowledge when taking decisions expanding into international markets. Especially within complex and uncertain international environments, it seems that practical experience significantly plays a role in assisting managerial judgment.

4.3 AI in Managerial Decision-Making

4.3.1 AI as an Information and Research Tool

The data suggests that AI is mainly used as a tool to assist with collecting information and study, rather than setting decisions. In the interviews, managers expressed using AI systems like ChatGPT and other AI services to find information, summarise long pages of data, learn about competitors, and help with everyday simple office tasks.

According to Interviewee C, AI is a part of daily work, by using ChatGPT to help with emails, analysing articles and learning about competitors. AI, the respondent said, is “a small tool” that helps with mundane work, not a substitute for managers judgement. AI is also used to compare information and generate insights before judgements are made. But the respondent indicated the organization does not employ AI in important projects, but rather for minor easy tasks.

Similarly, Interviewee A stated that they relied on AI technologies such as ChatGPT and Claude when they are confused about procedures, logistics or norms. AI provides “a fairly good answer,” the respondent added, to assist managers in understanding new topics. But the information from AI is then verified with external logistics partners or internal expertise. This shows that AI is considered as a rapid information provider, rather than an entirely dependable source.

The results also reveal that managers operate more efficiently when they spend less time searching manually. Managers indicated AI can be beneficial for swiftly creating summaries, basic insights and support when doing research on foreign operations. Respondents often stated that AI generated knowledge must be verified before being used in actual work.

To summarise, the data suggests that managers utilise AI predominantly as a helpful research and information tool to increase their productivity and awareness, while individuals are still responsible for analysing and validating the information.

4.3.2 AI Supporting Strategic Decisions

The interviews indicate that AI systems are involved in strategic decision-making process to some extent in for example international expansion, operational planning and market analysis. However, strategic decisions continue to rely strongly on managerial experience, contextual understanding and intuition even when AI provides useful information and comparisons.

Interviewee C stated that AI assists in comparing information and identifying relevant external insights before strategic decisions are made. The respondent emphasized that AI is not involved in major business decisions heavily. Instead, AI supports specific parts of the decision-making process by supporting in minor tasks or working as a faster search engine, but the manager must still evaluate AI answers.

Interviewee A described AI as a tool that supports decision making by being able to provide information at a higher speed regarding logistics, international regulations and operational uncertainty. The respondent

explained that AI can offer managers an initial understanding in unfamiliar situations, which can enable faster strategic responses. However, managers still depend on external experts and internal discussions before making important decisions.

The findings indicate that strategic decision making often combines analytical input with personal experience. Interviewee D described decisions regarding international expansion as complex and explained that the process is involves market analysis, competitor analysis and cultural understanding which today humans pose at a greater level than AI. The respondent also noted a strong reliance on personal judgment in strategic decisions about market expansion.

Interviewee B mentioned the need to balance analytical information with human judgment. They explained that even though AI supported insights can provide valuable information, managers must reevaluate to check whether recommendations align with the company's long-term goals, values, customers and contextual market conditions.

Interviewee E stated that the decision-making process in international business requires flexibility and human adaptation, particularly when working with different business cultures and changing customer expectations. AI is considered helpful for improving efficiency and providing information; however, it does not hold the same human capacity to interpret and navigate highly contextual and complex situations as culture and customer expectations.

Interviewee C explained that strategic decisions regarding investments, conferences and international collaborations require thorough personal evaluation before action is taken. The respondent stated that careful study is necessary before making decisions involving significant financial commitments or international partnerships and that it isn't as reassuring to depend on AI in such processes because there are contexts that AI does not understand as an expert, and AI data remains unevolved regarding the biotech industry they operate in.

These findings suggest that AI supports strategic decision making mainly by gathering information, making comparisons, improving efficiency and analysis. However, managers continue to rely on personal experience, knowledge, understanding and intuition when making final decisions more than AI data. Therefore, AI acts as a supporting tool or assistant within strategic processes rather than a partner in decision-making, due to it being incapable of processing and understanding complex contextual circumstances.

4.4 Human Judgement and AI Collaboration

4.4.1 Human Control over Final Decisions

The interview data show that all managers strongly agree on the importance of the final decision to be set by human experts. Respondents highlighted that AI is used to support managerial tasks, not to replace human judgment.

Interviewee C stated that the company does not depend on AI for important international affairs. Managers must evaluate and approve significant strategic actions. AI is seen as a tool that helps gather information and make comparisons during decision making, however it still cannot be fully trusted or as factual as human experts who have long personal experience of real-life situations.

Interviewee A shared a similar view, explaining that AI generated outputs are always checked and verified before use. Managers use AI to get an initial overview of logistics, regulations or operations, but this information must always be confirmed by human expertise. This shows that managers experience a strong lack of trust and do not rely on AI outputs without human validation.

Additionally, interviewee B mentioned that managers hold large responsibility over organisational growth decisions and must not blindly incorporate AI into the decision-making process. Managers must critically reevaluate information provided by technological systems and ensure that decisions align with organizational goals and customer expectations, whilst ensuring it does not negatively impact important resources of the company to avoid negative outcomes. AI is considered an advisory support tool, not a final decision maker.

Interviewee D provided valuable perspectives by mentioning that decisions are naturally dependent on experience and intuition, when looking for partners in new markets, whether it be conscious or unconscious. The respondent also emphasized the need to understand cultural differences and market specific conditions, which AI systems cannot fully manage. They also continued to emphasize that most business affairs handshake agreements are heavily dependent on human-to-human interaction and the feeling received from a meeting.

Similarly, Interviewee E mentioned that human interaction in relationship building and contextual understanding are the basis in international business. The respondent noted that AI can improve efficiency and provide analytical

support, but managers still need to interpret situations, adapt to changes and take responsibility for final actions.

All interviewees agreed on the point of AI lacking the important human qualities needed for successful strategic decision making, such as trust, ethics, cultural adaptation and ability to understand how to maintain long-term business relationships. Overall, the findings show that AI is yet again seen as a support system, highly involved partner or autonomous actor in managerial decision making. While AI can provide speed, efficiency and access to information, managers trust and prioritize their own knowledge and experience when setting final decisions by relying strongly on human experience, intuition and contextual understanding for international expansion.

4.4.2 Limitations of AI in Complex International Contexts

Although AI is being used more in businesses, its influence on decisions about international expansion is still quite minimal. According to every interview, AI is not used to determine strategic choices, but instead as a supporting tool for information processing and efficiency. Interviewee B defined AI as a tool for obtaining market data, searching for new possible clients, and doing more effective information analysis. Interviewee C clarified that AI is used to handle large amounts of data, especially in situations where analysis would take a long time. Also, in interview D it is highlighted that AI is used to simulate scenarios to reduce risks, offering a more comprehensive analytical approach while making business decisions.

All interviewees highlighted that final decisions are still made by them instead of mainly AI. The interviewee C also mentions that AI has influence, providing it a “one of ten” grade and stressing that important choices are not made using AI. Interview A also characterizes AI as only a “aid”, with managers experiences being the only basis for decision-making. This opinion is supported by interviewee E, which claims that connections and knowledge are more crucial in their field and that AI has less influence on decisions.

The interviews revealed that AI’s inability to understand the complex nature of global business contexts is a major limitation. Interviewees frequently point out that while connections with others, culture, and trust are crucial for international expansion, AI is unable to fully handle the situations when asked for. According to interviewee C, cultural differences, language, and negotiation approaches all have an impact on firms’ relationships and that human judgment is more important than computer analysis. In a similar way,

interview E highlights that connections, service, and trust are more important for long-term success than just analytical results.

Concerns exist over AI reliability where interviewee C points out that AI results may be inaccurate or misleading, particularly in highly complex fields with limited data availability. As a result, managers usually verify information generated by AI because they do not fully believe it and rely on their personal experience to confirm the findings. Interviewee D claims that although these findings are usually evaluated critically and even when AI is still viewed as a useful support system, AI provides a more in-depth perspective in spotting issues that could otherwise go undetected.

In summary, the findings demonstrate that although AI improves efficiency and helps in analytical tasks, it has no impact on strategic choices related to international expansion. Human judgment, experience, and social knowledge are crucial components of decision-making in complex international situations.

5 Analysis & Discussion

This chapter presents an analysis of the empirical findings presented in Chapter 4. In addition, the following chapter will be connected with the theoretical framework. Therefore, combining both the analysis of the empirical findings and using the theories chosen, the chapter will thereby provide a deeper understanding of the studied topic. The analysis will be carried out systematically according to the identified themes and sub-themes.

5.1 Gradual International Expansion and Network Development

5.1.1 Incremental International Expansion

The empirical findings show that Swedish B2B SMEs' international growth is mainly experience-driven and gradual. Instead of trying to expand into several international markets immediately, businesses grow gradually and increase their commitment over time, just like the Uppsala model (Johanson & Vahlne, 1977) that describes internationalization as a process where firms reduce uncertainty through experiential learning and market knowledge.

The interviews explain how businesses first enter regions that are both geographically and culturally close by before expanding on a larger scale. The results show interviewees mention that their businesses moved around the globe, starting from Scandinavia to Germany, then the US and China, and others that are concentrated on Nordic markets go hand in hand with the Uppsala model that businesses should start growing in familiar settings in order to reduce risk and uncertainty.

The results also show that experience and intuition have a major impact during internationalization. When evaluating opportunities, managers tend to rely on "gut feeling" and prior information, particularly in uncertain situations. This strongly connects with bounded rationality (Simon, 1955), in which managers make decisions based on missing information and are unable to consider every option to make their decisions.

Furthermore, the gradual international expansion looks to be influenced by resource limitations. Firms show the challenging perspective to expand in multiple directions at once due to the lack of financial and organizational resources. As a result, they tend to give priority to certain markets and progressively expand over time.

Additionally, the results also show that firms do not wait to enter international markets until all uncertainty has been eliminated. Instead, as information starts to become more complete, managers learn and adjust throughout the process. This shows that internationalization is a constant learning process influenced by unpredictable situations, experience, and managerial judgment rather than just a planned process.

Even though AI might give businesses easier and faster access to information, managerial judgment and experience are still crucial when expanding internationally. The Uppsala model's highlights on gradual learning and uncertainty reductions in SME internationalization are in fact supported by the data provided by the interviews.

5.1.2 Networks and Relationship-Based Expansion

The findings show that networks and connections are essential to Swedish B2B SMEs' international growth. The revised Uppsala Model (Johanson & Vahlne, 2009), which highlights the importance of network and relationships during internationalization rather than only internal market learning, is highly supported by the data.

According to the majority of interviews, current contacts and persistent commercial links frequently lead to opportunities in foreign markets. While one interview characterizes the industry as a small network where everyone knows each other, and others regarding the clients approaching through recommendations from their networks, both demonstrate that networks serve as a crucial part for gaining access to industry information and possibilities that without them, it would be hard to achieve.

The results also show that relationship connections and trust have a significant impact on management decision-making and how it connects to better results. With information from the interviews showing that partner selection is impacted by personal chemistry, and also the emphasis on the significance of working with trustworthy partners who share the company's values, it clearly states that B2B internationalization is socially manipulated and that network relationships are a crucial part of how to be successful, rather than being purely grounded on logical market analysis.

In addition, local connections seem to be crucial in markets that are culturally distant. While interview C highlights the significance of comprehending cultural and communication differences in international business partnerships, one interviewee shows that accessing culturally different markets required a trusted local agent, showing that network

relationships assist businesses in navigating decisions and lowering uncertainty.

Since managers rely on trustworthy relationships to make their decisions an easier possibility, the findings can also be related to bounded rationality (Simon, 1955). In order to make up for SMEs' limited resources and information, networks offer the knowledge and support needed for managers to be more acceptable and more certain with their decisions in foreign markets.

At the same time, if firms strongly depend on relationships, this may limit firms to familiar contacts and markets, potentially hurting and reducing the possibility of exploration of new opportunities outside the current networks that they possess.

In conclusion, networks and trust remain highly important in reducing uncertainty and supporting B2B international expansion to a certain extent, where a big dependence on it might hurt other possibilities.

5.2 Managerial Decision-Making under Uncertainty

5.2.1 Uncertainty in Managerial Decision-Making

The empirical findings outline that uncertainty plays a big influence on managerial decision-making during international expansion. expanding into foreign markets as described by managers: a complicated process that involves operational and legal along with cultural concerns, especially when entering new markets or forming new business relations. This, therefore, becomes consistent with Johanson and Vahlne (2017), where they address that during internationalization, firms tend to operate under constraints due to incomplete information and constant change in the environment. Thereby, the assumptions are supported by the findings that the process of international expansion is not a linear process but instead a process shaped by ambiguity and uncertainty.

Additionally, the findings also show during the process of expansion, managers are required to constantly assess information and adapt decisions. Multiple managers viewed international collaboration as difficult and unpredictable, resulting from documentation requirements, negotiations, and communications with foreign partners. This is further reflected through Hernandez and Ortega's (2019) argument on how decision-making is influenced by how individuals understand their external surroundings instead

of entirely rational evaluation procedures. Likewise, Aharoni et al. (2011) stress how within international business, managerial decision-making goes beyond choosing the best alternative but rather involves managing ambiguity and uncertain environments.

Furthermore, managers also noted cultural and communication differences as an additional reflection of uncertainty. Taking into account markets are geographically close, managers still face challenges in communication styles, business practices, and preferences. This aligns with the revised Uppsala model, as Johanson & Vahlne (2017) highlight how despite access to information and increased international experience, uncertainty remains present. As a result, managerial decision-making relies increasingly on adaptation, interpretation, and also situational judgment instead of fixed or predictable decision models.

Moreover, the assumptions of traditional rational decision-making models have been challenged by the findings. The findings indicate that complete rationality is impossible to acquire, even though managers seek to evaluate and gather information when engaging in international expansion. Simon's (1955) argument of rational decision-making aligns with the findings, which emphasize how decision-makers cannot fully predict outcomes or be able to evaluate every possible alternative and that's due to uncertainty and complex environments. Therefore, the findings demonstrate that during international expansion, decision makers are influenced by uncertainty and continuous business environment change, hence why managers cannot be fully rational.

5.2.2 Incomplete Information and Challenges in Evaluating Information

An additional significant finding is managers tend to struggle not only with information access and gathering but also with processing its reliability and relevancy. While technological tools and digitalization have eased the ability to access information, the findings, however, do illustrate that managers do still experience difficulty in processing and analyzing large amounts of information during international decision-making. This further supports the theory of bounded rationality, which stresses how individuals, who in this case are decision-makers, do not operate under complete rationality but rather under cognitive and information limitations.

Several managers outlined the need to simultaneously evaluate competitors, customer needs, and partnerships when assessing foreign market opportunities. Despite having access to substantive information, the

managers stressed how it still remains a challenge to identify the valuable information for decision-making. This further reflects upon the assumption of how the needs of information processing do exceed human cognitive capabilities, as argued by Pittenger et al. (2023). Therefore, the understanding of the limitations of human cognition that managers face during the process of complex information and also making strategic decisions is provided through bounded rationality as mentioned by Jiang and Liao (2022).

Furthermore, the findings outline that during international expansion decision-making, managers do often operate under incomplete information. Managers are well aware that certain knowledge regarding market trends and partnership outcomes cannot be fully acquired. These findings further align with Hernandez and Ortega (2019), who then stress how limited knowledge and uncertainty restrict full rationality. Hence, this reflects the bounded rationality perspective by Simon (1955), which expresses the inability of managers to gather or even process all the possible information or even determine the best possible alternative towards a decision.

Therefore, the process of decision-making becomes simplified as managers tend to seek selected information sources and practical evaluations. This corresponds to Simon's (1959) concept of "satisficing," where decision makers focus on a set of alternatives that are considered good enough for their decision. thus not seeking the best possible alternative but rather satisficing. Furthermore, the support of technology in managerial decision-making as described by Jarrahi (2018) can be linked to the increase of AI-supported tools identified in the findings. in which Jarrahi (2018) argues how AI can assist managers in accessing and processing large amounts of information, thus making the process more efficient. However, the findings do indicate that when evaluating the credibility and relevance of the information available, managers do still play a big responsible role, even though AI helps in improving information accessibility.

As a result, the findings do imply that during international expansion, managers are limited by cognitive capacity but also informational processing complexity. Therefore, the findings do reflect the bounded rationality theory, hence describing how managers do not function through optimized and fully rational decision-making but instead under uncertainty and incomplete information.

5.2.3 The Role of Experience and Intuition in Decision-Making

Within the empirical findings, it was shown how during international decision-making, managerial intuition and experience play a vital role. A number of managers expressed how, instead of relying on formal analytical processes, judgments are usually influenced by prior experience and the gathered market knowledge along with practical judgment. This finding connects with Vincent (2021), who elaborates on how under uncertain and complex environments intuition becomes a very important factor, especially where only rational thinking alone is insufficient.

In addition to this, the findings further demonstrate how within international expansion, where it typically involves ambiguous situations in which complete information is not accessible, managers tend to rely on intuition heavily. The managers further express how due to prior experience from engaging in international collaborations, it has provided them with assistance in identifying risks, evaluating opportunities, and also in finding the suitable partnerships when entering foreign markets. Hence, the Uppsala model, which supports the findings, highlights the knowledge gained through prior international collaborations due to experimental learning has helped support future processes within decision-making (Johanson & Vahlne, 1977).

Moreover, the findings further link with the concept of the “administrative man," where it shows how decision makers often operate under imperfect conditions as well as limited rationality (Simon, 1955) instead of the traditional model of the fully rational “economic man." Thereby, when assessing options, managers depend on practical judgments along with previous experiences instead of attempting to maximize every decision through complex analysis. The results therefore highlight how managers adapt their behaviour in accordance to environmental conditions and cognitive limitation which as described in the bounded rationality theory (Jiang & Liao, 2022).

The findings also demonstrated the reliance on satisficing behaviour from managers during decision-making. Thus, instead of opting for the best possible alternative, managers instead focus on alternatives that are seen as practically manageable and satisfactory within uncertain environments. This, therefore, reflects Simon’s (1959) argument on how decision makers often look after satisfactory alternatives, especially considering how the evaluation with complete rationality is impractical.

Another factor that appeared to have a big impact on managerial judgment

was relationship-based learning as well as networking. When needing to understand the business environment and the foreign markets, managers have described how communications with contacts within the industry have helped support that. Therefore, this indicates how managerial decision-making is also determined by tacit knowledge and the development of rational experience over time in contrast to relying solely on formal information. The revised Uppsala model also reveals how, during international expansion, networking serves as an important element of market knowledge and opportunity source, which links with the findings (Johanson & Vahlne, 2009). Thus, the findings reflect the idea that in foreign market environments, relationship-based knowledge and experience do assist in reducing uncertainty (Johanson & Vahlne, 1977).

Overall, as illustrated through the findings, within the process of international expansion, managerial decision-making is heavily characterized by incomplete information, the reliance on practical judgment, and uncertainty. In addition, the findings further demonstrate how managers encounter navigating complex international environments under conditions where it is difficult to acquire complete rationality, which hence supports the relevance of the bounded rationality theory (Simon, 1955; Jiang & Liao, 2022). Thereby, managers tend to adapt their decisions in accordance with the limited information, practical, and uncertainty constraints that they encounter instead of behaving as fully rational decision-makers, hence aligning with the concept of "administrative man" (Simon, 1955).

5.3 AI in Managerial Decision-Making

5.3.1 AI as an Information and Research Tool

Empirical findings indicate that AI is mainly used as a tool to gather, summarise and process information, instead of suggesting independent decisions. Research also mentions how AI is mostly effective when it supports human capabilities instead of replacing them (Jarrahi,2018). Managers use AI to be able to quicker analyse information, know competitors, understand tasks and optimise daily tasks. This shows that AI is effective at processing large amounts of data in comparison to human cognitive capacity, which results in simplifying analytical work (Shretha et al., 2019).

The findings also further strengthen the bounded rationality concept, which addresses how managers often encounter limitations such as incomplete information, uncertainty and restricted capacity to process information

(Simon, 1955). AI helps to reduce these limitations by making it easier to search for information and by saving time in processing knowledge. Managers use AI to faster highlight information and comprehend new situations more efficiently, and not to consider every possible alternative which is provided by AI. This demonstrates satisficing behaviour, where decision-makers seek solutions that are sufficient rather than optimal (Simon, 1955; Kahneman, 2003).

The findings show that managers do not fully trust the information which AI provides after analysis. Respondents stated that AI outputs need to be reevaluated by experts, partners or through their own experience before considering the information and involving it in the decision making. This agrees with research that suggests that AI is incapable of understanding contextual situations and can give inaccurate or misleading results when information is uncertain or incomplete (Jarrahi, 2018; Vincent, 2021). Therefore, AI is regarded as a useful support manager rather than a tool substitute for human knowledge (Jarrahi, 2018).

The findings also further strengthen the revised Uppsala Model which addresses digitalization. Managers use AI to gain international market knowledge more effectively, which demonstrates that digital technologies facilitate internationalization (Herve et al., 2020). However, the human expert revaluation need, shows that digital information is still incapable of eliminating uncertainty, which the theory also suggests. In summary, AI is primarily a tool that assists managers in handling complex information more efficiently. Human judgment remains essential for evaluating and approving information accuracy.

5.3.2 AI Supporting Strategic Decisions

The findings indicate that AI is involved and supports decision-making in ways of collecting information, offering analytical assistance and increasing efficiency. This shows that AI does to some extent influence decision-making, however, managers continue to rely on their own experience, intuition and contextual understanding when making final decisions much more than AI insights. This is related to Jarrahi's (2018) view that AI enhances managerial capabilities but does not replace human decision-makers.

For example, managers used AI to assist with market analysis, logistics and operational planning during international expansion. In uncertain situations, managers often face limitations in knowledge and information (Simon,

1955). AI is able to solve such issues by processing information rapidly and identifying relevant insights in complex international environments with numerous regulations, competitors and unfamiliar markets in comparison to the human mind. Although AI can offer beneficial advantages, the findings indicate that managers still sense AI's few limitations in strategic decisions. Respondents mentioned heavily that AI is unable to understand customer expectations, culture or complex situations as humans. This supports Vincent's (2021) argument that AI faces challenges in uncertain and unstructured environments where interpretation and judgement are key requirements. The findings show that managers depend more on their own intuition than on AI in decision making involving uncertainty, financial risk or long-term relationship building.

The findings can also be drawn to the Uppsala Model, which explains internationalisation as a gradual expansion process that relies on knowledge, uncertainty and learning from experience (Johanson & Vahlne, 1977). Managers relied much more on their own experience and understanding of the market when making decisions regarding international expansion due to it being based on real experience from different outcomes, highlighting the importance of experiential knowledge. Additionally, AI demonstrates that digitalisation is becoming important for accessing knowledge faster to support strategic awareness during expansion (Hervé et al., 2020).

The findings can also be interpreted using the Vincent model (2021). Typically, AI generates or analyses information first, and managers then apply their own judgement and experience to evaluate the results. This is consistent with Vincent's exploratory method (Vincent, 2021). The findings indicate that AI helps significantly in strategic decisions by supporting managers in accessing complex international expansion knowledge in a faster, more efficient way, however, doubt of AI output remains strong due to its limited data capabilities.

5.4 Human Judgement and AI collaboration

5.4.1 Human Control over Final Decision

As mentioned previously in the empirical findings, it is very important to the managers that final decisions are under human supervision and are re-evaluated by specialists in a thorough manner. AI is still generally considered as a support tool, and not an independent or strong participant in the decision-making process. This is consistent with research that recommends AI to be used to supplement and not replace human judgement (Jarrahi,

2018). Managers also emphasized the importance of reevaluating AI generated outputs before using them in practice. AI does help reduce the restricted knowledge of international markets when dealing with SME B2B issues, but it does not eliminate bounded rationality or reduce it significantly. Bounded rationality refers to managers making choices according to their own final understanding capability of knowledge (Simon, 1955), as seen in the interview results, even though AI support in finding knowledge, managers tend to go back and trust their own knowledge even if its limited. AI can aid in improving efficiency and lessening cognitive burden, but the ultimate decision making still relies heavily on the experience, intuition and critical evaluation of management.

The results also support studies on the limits of AI. managers interviewed also collectively highlighted that AI cannot correctly comprehend issues regarding ethics, long term relationship building, cultural differences in international expansion B2B affairs. This aligns with the statements made by both Shrestha et al. (2019) and Vincent (2021), that AI does not accurately interpret data related to social complications. The managers employed AI only to access information faster or analyse alternatives, however, AI suggestions were constantly reevaluated, validated or reinterpreted by human experts. This demonstrates the confirmatory method in the Vincent Model (2021).

The results are also consistent with the Uppsala Model that emphasises the relevance of experienced knowledge and relationship-based learning in internationalisation (Johanson & Vahlne, 1977; 2009). Decision making about international markets was often based on managers personal experience, networks and direct contact. Overall, the findings imply that human judgement is still the basis of managerial decision-making despite the growing integration of AI. One can still argue that strategic judgement is heavily and in some cases and industries independently based on human intuition, contextual understanding and experience.

5.4.2 Limitations of AI in Complex International Contexts

The findings show that while AI helps managers make decisions while expanding internationally, its use is still restricted in unpredictable global settings and sometimes hard to trust. AI is used by managers to collect data and assess markets during internationalization. This supports studies that claim AI struggles in complex environments but on the other hand, works well in organized and safe environments (Jarrahi, 2018; Vincent, 2021). Data taken from the interviewees agrees that AI-generated data still requires

human interpretation and evaluation. Managers continue to rely on their experiences, intuitions, and contextual knowledge when making judgements about international contexts, which AI may not be able to understand. This is particularly relevant for B2B internationalization, where developing relationships and trust are essential.

AI is also unable to completely understand the relational and social aspects of the international context. Managers mention that human judgment is valuable and necessary because negotiations and communication methods differ from how AI is used in markets. This is consistent with Vincent's (2021) argument, that AI is unable to handle complex situations where intuition and implicit knowledge are crucial.

In addition, managers don't just follow AI recommendations without questioning it, especially since it is mentioned by all interviews that AI is not at its fullest strength and that in some situations, they do not even try to correspond with what AI suggests. Managers typically use AI as a support tool to help management decision-making while highlighting their own judgment, when AI-generated data differs from their intuition.

Human judgment, relationship building, and contextual knowledge are still key factors in B2B internationalization, although AI augments efficiency and information availability during foreign expansion. Therefore, instead of taking the place of managerial decision-making, AI seems to be useful more as support and additional help for the manager to implement their strategies with more confidence.

6 Conclusion

This chapter aims to answer the research questions based on the conclusions drawn from assessing all data in this thesis. Furthermore, both theoretical and managerial implications will be presented. Lastly, the limitations of the study along with future recommendations will be presented.

6.1 Answering the Research Question

This thesis has studied artificial intelligence influence on management decision-making process during the internationalisation of Swedish B2B SMEs. The results have shown that AI is mostly involved to the extent of actions as a supportive and analytical tool instead of an independent decision-maker or highly participating assistant. Managers utilise AI to gather information, examine markets, enhance data, detect data patterns and increase efficiency. AI has shown to relieve time pressure and is also a support for managers in the face of uncertainty in international expansion.

The findings, however, suggest that despite the advantages of AI, management judgement continues to play a fundamental role in strategic decision making, and strong doubt toward AI remains. Managers assess foreign possibilities and complexities based on their own experience, intuition, relationship interpretations, and context understanding. This is especially noticed in projects of uncertain foreign situations where AI is unable to completely comprehend cultural differences, incomplete information and relationships. The results support the idea that AI is a complement to human decision-making, not a substitute (Jarrahi, 2018; Vincent, 2021).

The research has also shown that the influence of AI differs depending on the type of decisions being set. It was most valuable and influential in analytical and information-heavy tasks such as research, fast analysis, and market regulatory knowledge. But managers are hesitant to depend on AI heavily for strategic decisions involving ambiguity, trust, negotiation, high financial rewarding tasks and long-term foreign relations. Here the human judgement is more dependable because of the experience and practical understanding of management.

The findings also suggest that SMEs have some constraints in completely utilising AI in decision-making. But limited resources, lack of AI experience and uncertainty regarding AI reliability constrain the extent to which AI can impact decisions on its own. This results in a decision-making process in

Swedish B2B SMEs in which management and AI work together. The empirical results have shown to align with the Vincent model (Vincent, 2021), Managers retain control of strategic decisions, although AI assists confirmatory or exploratorily (see figure 3) depending on the complexities of the assignment.

In conclusion, the study demonstrates that AI has a favourable impact on managerial decision-making in international expansion through improved access to information, support to analysis and increased efficiency. However, AI does not at this moment of time replace the need for human intuition, experience and relationships judgement. Therefore, for Swedish B2B SMEs to make effective decisions, they must balance AI outputs with human knowledge and intuitive understanding of complex context.

6.2 Implications

6.2.1 Theoretical implications

By exploring recent literature on SME internationalization, managerial decision-making, and artificial intelligence, multiple theoretical gaps were found. Due to limited focus towards how AI is incorporated into managerial decision-making for the internationalization of SMEs, prior research has mostly given attention to large multinational enterprises (MNEs) and their adoption of AI as well as the capabilities of AI systems. Furthermore, little research has examined the interactions of AI with experimental learning and uncertainty as well as bounded rationality, especially within international business environments. Hence, the purpose of this thesis is to address the gap by exploring the influence of AI on managerial decision-making during international expansion.

The theoretical contribution conducted in this thesis through the integration of the Uppsala model and bounded rationality, along with human AI decision-making, into a single framework assisted in analyzing the managerial decision-making in Swedish B2B SMEs during international expansion. The findings revealed the process of internalization persists being gradual as well as relationship-based, which is influenced by experiential learning, networking, and uncertainty. This becomes more significant for B2B SMEs as the significance of relationship networking plays a major role. Thus, supporting the revised Uppsala model (Johanson & Vahlne, 2009). However, as identified through the findings, AI continuously serves as a supportive tool that facilitates accessibility and the analytical efficiency of information during international expansion.

Moreover, the thesis broadens the scope of bounded rationality, as illustrated previously, on how it remains that under uncertainty, managers still do make decisions even with cognitive and information limitations despite integrating AI tools. It becomes apparent to see how AI cannot eliminate uncertainty or even ensure a fully rational decision, despite the fact that it assists in information access and processing efficiency for managers. Therefore, managers instead depend on intuition, experience, and trusted networks when dealing with complex decisions related to foreign market expansion. This reflects the argument of how dynamic environments and limited human cognitive capabilities, as highlighted by Simon's (1955) limited decision-making.

In addition, the collaboration between human judgment and AI highlights another theoretical implication. As demonstrated, managers continue to rely on characteristics derived from experience and within the industry the firm operates in when making strategic decisions; therefore, AI functions as a supplementary assisting tool for managers instead of an individual decision maker. To add on, AI effectiveness becomes increasingly efficient when balanced with human intuition and experimental learning as highlighted by Vincent (2021) instead of entirely overtaking managerial judgment.

To conclude, the thesis has demonstrated how networking, experimental learning, or even managerial judgment cannot be substituted by AI during the process of SME international expansion. Hence, contributing towards the current literature on international business. Therefore, it has been prominent how within dynamic international environments, AI serves as a facilitating support mechanism and how it still remains human judgment as the central factor in evaluating information and alternatives and making the final decision.

6.2.2 Managerial implications

The thesis has presented multiple managerial implications for managers that adopt AI into decision-making within Swedish B2B SMEs that operate internationally. The findings demonstrated how AI should be considered as a supportive tool for managers and not an individual mechanism tool that can replace managerial expertise, knowing that it improves information accessibility and evaluates market opportunities but also supports market research for managers. As mentioned before, it's due to the importance of human judgment and experience within decision-making.

It was further suggested through the findings how, when evaluating foreign market opportunities, managers should consider collaborating intuition and experimental knowledge with AI-generated outputs. Because despite the increase in digitalization and the rapid development of technology, long-term relationships as well as networking remain a big important role, especially for B2B firms that can improve in reducing uncertainty but also assist during international expansion. Therefore, relationship and networking building should be continuously invested in by B2B SMEs along with technological development.

An additional implication found is the progressive and strategic integration of AI in SMEs; because of the limited financial and organizational resources within SMEs, the expenditures of AI should be focused on the practical support functions such as previously mentioned like market analysis and operational efficiency as well as information processing. Furthermore, the results also imply the avoidance of dependency on outputs generated by AI by managers and instead retain the managerial influence and control over strategic decisions.

Finally, the existence of uncertainty as a major element of international expansion should be acknowledged by managers, regardless of the rise of accessibility of AI-supported tools. As a result, experimental knowledge and practical judgment still remain necessary capabilities for managers in dynamic international environments.

6.3 Limitations

There are number of limitations to this study that should be noted. First, five Swedish B2B SMEs are included in this study, which is based on a qualitative multi-case design. Although research offered in-depth understanding into managerial experiences and perspectives, this is still limited since there is a small sample size to be a valuable finding afterwards.

Second, Swedish SMEs that operate in B2B international business environments are the study's key highlight. As a result, the findings might not accurately represent how AI influences management decision-making in MNEs, B2C, or even organizations in different countries.

Another limitation worth noticing is that even interviewing managers of firms, there is still a potential bias in their interpretations and responses that can affect the analysis made on this study.

Despite these limitations, the study is still valuable into how AI currently influences managerial decision-making during international expansion within Swedish B2B SMEs.

6.4 Suggestions for Future Research

In order to further examine the connection between AI use and businesses performance, future studies could study AI-supported management decision-making utilizing larger samples and quantitative methods.

They also could compare firms across different countries, and organizational sizes (SMEs vs MNEs) to understand how contextual factors influence AI adoption in managerial decision-making.

The long-term evolution of human-AI interaction is another key topic for further study. Future research should investigate whether managerial trust in AI changes as AI technologies advance, since managers in our interviews/study continued to value human judgment above AI advice, but mentioning that AI evolution is evolving fast and in some years it could be different.

Lastly, a long-term study may offer a better understanding of how businesses progressively use AI technologies over time as they expand internationally, giving a deeper understanding of the impact of it.

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8 Appendix

8.1 Appendix 1- Interview Guide

Initiating Questions:

- Do you wish to be anonymous?
- Do you accept this interview to be recorded?

Background Questions:

- Can you briefly describe your role in your company?
- In your role, what decisions are you personally responsible for?

- What markets does *company's name* operating in internationally?

Interview Questions:

- How do you approach the process when entering a foreign market?
  - What steps are often taken before making a decision?
  - Has past experiences changed the process of those decisions?
  - If so, can you elaborate?
  - What barriers do you face during the process of expansion?
  - How does it influence your decisions?

- How do changing market conditions influence your international expansion decisions?
  - Can you further elaborate?
  - Can you provide an example?

- What information do you consider hard to access?
  - Can you elaborate on that?
  - Do you often feel you have enough information when making these decisions?
  - if not, how do you advance when information is incomplete?

- When presented with multiple alternatives, how do you decide which option to proceed with?
  - How do you navigate those alternatives?

- How do you collaborate with AI in decision-making?
  - Can you elaborate on that?

- Can you provide examples?

- How does AI influence your decision-making?
  - Can you further elaborate on that?
  - Can you provide examples?

8.2 Appendix 2- Thematic Analysis

Main Theme	Sub-Theme	Codes
Gradual International Expansion and Network Development	Incremental International Expansion	Step by step expansion, gradual market entry, expansion from nearby to distant markets, experiential learning, market commitment, learning through previous expansion
	Networks and Relationship-Based Expansion	Trust-based relationships, distributors and agents, referrals, networking, local partnerships, relationship-based opportunities, customer-following expansion
Managerial Decision-Making under Uncertainty	Uncertainty in Managerial Decision-Making	Foreign market uncertainty, cultural differences, communication barriers, legal uncertainty, uncertainty in partnerships, changing market conditions
	Incomplete Information and Challenges in Evaluating Information	Information overload, incomplete information, evaluating alternatives, identifying reliable information, filtering information, limited knowledge, information complexity

	The Role of Experience and Intuition in Decision-Making	Managerial experience, intuition, gut feeling, tacit knowledge, practical judgement, experiential learning, relationship-based knowledge
AI in Managerial Decision-Making	AI as an Information and Research Tool	AI supported research, competitor analysis, faster information gathering, summarising information, translation support, market research
	AI Supporting Strategic Decisions	AI assisted evaluation, AI generated suggestions, strategic analysis support, AI supported alternatives, AI improving efficiency, AI assisted exploration of alternatives
Human Judgement and AI Collaboration	Human Control over Final Decisions	Human validation, managers retaining authority, AI as support tool, final human judgement, human centered decisions
	Limitations of AI in Complex International Contexts	Lack of contextual understanding, AI limitations, distrust in AI-generated outputs, need for human interpretation, complexity beyond data, relational complexity